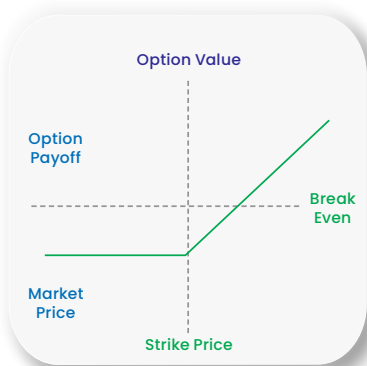


In India, all options are European-style. You can exercise them only on expiry. However, you can still trade your options before expiry.

Typically, options have different categories based on strike price. It refers to the price at which one can buy or sell the underlying asset when exercised.

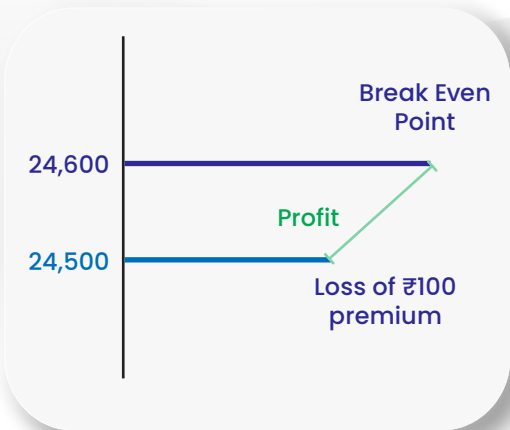


In Nifty, the strike prices have 50-point intervals, such as 24,500, 24,550, and 24,600. In Bank Nifty, which focuses only on banking stocks, this interval is ₹100. For individual stocks, the intervals depend on the stock's value and profile^[2].

Options risk comparison for buyers and sellers

You must also note that options are inherently in favour of sellers. Let us take an example to understand this.

Suppose Nifty is trading at 24,500. You bought a call option at ₹100 premium. So, your breakeven point would be 24,600.



[2] <https://www.nseindia.com/market-data/securities-information-contracts-available-for-trading>